

China Daily Brief

Wednesday, September 9, 2026

RE: Tung Chee-hwa dies · US accuses China of AI IP theft, slams Ford · Exports +25% · PLA JL-3 sub test · PH-China SCS spat

USD/CNY
6.6959
▼ -0.34%

SSE COMPOSITE
3,951.51
▲ +0.24%

HANG SENG
25,274.96
▼ -0.14%

BRENT
\$100.40
▲ +5.11%

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○ TODAY AT A GLANCE

- 1 Hong Kong's first post-handover chief executive Tung Chee-hwa dies at 89 in Hong Kong; Xinhua credits him as a longtime CPPCC vice chairman across four sessions.
- 2 The Trump administration accuses Chinese AI firms of 'industrial-scale' trade-secret theft and DOT calls Ford's Chinese-tech ties 'unacceptable,' as China's August exports jump roughly 25% ahead of Xi's Sept. 24 Washington visit.
- 3 A Taiwan Mainland Affairs Council-commissioned report finds a PLA nuclear submarine test-fired a JL-2 ICBM near Nauru in July, warning that future JL-3-armed refits would put 'much of the US' within range.

DIPLOMACY

Tung Chee-hwa, Hong Kong's first post-handover leader, dies at 89

Tung Chee-hwa, Hong Kong's first chief executive after the 1997 handover, died in Hong Kong on Sept. 8. Xinhua named him a CPPCC vice chairman across the 10th through 13th sessions and an 'outstanding contributor' to one country, two systems; his 1997-2005 tenure spanned the Asian financial crisis and the 2003 SARS outbreak, and the New York Times writes his administration made clear 'Beijing was now in charge.'

NYT

US-CHINA

Trump administration expresses 'profound concern' over Ford's China ties

The US Department of Transportation sent Ford CEO Jim Farley a letter expressing 'profound concern' over the automaker's ties to Chinese technology and manufacturing, CNN and CNBC report. DOT Secretary Sean Duffy separately called Ford's use of Chinese tech 'unacceptable,' questioning the company's strategic direction, per WSJ.

CNN

TECHNOLOGY

US agencies accuse Chinese AI firms of 'industrial-scale' trade-secret theft

US federal agencies alleged Sept. 8 that Chinese AI firms are committing 'industrial-scale' theft of American AI trade secrets to cut costs and speed products to market, per CNN and Reuters. China's Foreign Ministry responded the same window, urging Washington 'not to make unfounded accusations and smear China,' ahead of AI-related talks tied to the Sept. 24 Trump-Xi summit.

CNN

PRC-ECONOMY

China's exports jump roughly 25% ahead of Xi's Washington visit

China's exports grew roughly a quarter year-on-year in August, the New York Times reports, weeks before Xi Jinping travels to Washington on Sept. 24 for his first meeting with Trump on US soil. The surge adds to a trade surplus drawing scrutiny from the EU and G20 partners heading into the summit season.

NYT

PLA

MAC report: PLA submarine test-fired ICBM near Nauru, future refits could reach US

A National Defense University report commissioned by Taiwan's Mainland Affairs Council found a PLA Navy nuclear ballistic-missile submarine test-fired a JL-2 ICBM with a training warhead in July, tracked jointly by Taiwan and the US and confirmed fired from the surface, splashing down near Nauru. The report separately warns that refits enabling submarines to carry JL-3 ICBMs would put 'much of the US' within striking distance; several Pacific nations protested the July test.

TAIPEI TIMES

INDO-PACIFIC

China, Philippines trade accusations over South China Sea claims

The Washington Post reports an escalating war of words between Beijing and Manila over South China Sea claims. Chinese state media report Beijing's Foreign Ministry was asked this week about Philippine defense official Teodoro's account of receiving a note from Chinese counterparts at an international forum.

WASHINGTON POST

LEGAL · REUTERS

Huawei goes to trial in New York over Iran sanctions dealings

Jury selection began this week in the US criminal case against Huawei Technologies over alleged sanctions evasion and trade-secret theft, Reuters and AP report. The trial will determine whether Huawei's rise was built on racketeering, per the criminal indictment.

LEGAL · NYT

CIA deputy director says China's economic rise justifies broader spying

CIA Deputy Director Michael Ellis said China's economic competition with the US makes Chinese companies legitimate espionage targets, per NYT reporting from a conference this week. Ellis argued the lack of independent business under CCP rule makes AI, semiconductor and biotech firms fair game.

DIPLOMACY · BLOOMBERG

Bessent: 'nothing else would matter' if China wins the AI race

Treasury Secretary Scott Bessent warned that outcomes across other policy areas would be secondary if China wins the artificial intelligence race, Bloomberg reports. The remark lands as Washington and Beijing prepare AI-related discussions ahead of the Sept. 24 Trump-Xi summit.

DIPLOMACY · REUTERS

De facto US ambassador says Taiwan conflict would be disastrous

The top US representative to Taiwan said a conflict over the island would be disastrous, per Reuters. The remark comes as Taipei's Mainland Affairs Council-commissioned report separately warns of PLA submarine missile upgrades extending Chinese reach toward the US.

DIPLOMACY · SINOCISM

Sinocism: Xi's DC visit prep, AI on the Trump-Xi agenda, Rubio's South America trip

Bill Bishop's newsletter tracks preparations for Xi's Washington visit, notes AI guardrails are on the Trump-Xi agenda, and flags Secretary Rubio's South America trip as a China-adjacent diplomatic thread. It also notes Beijing has still not confirmed Xi's BRICS attendance in New Delhi.

CROSS-STRAIT · TAIPEI TIMES

Leaked documents allege Beijing paid to block Taiwan from WHA

A Taiwan NSC adviser cited leaked Chinese diplomatic documents allegedly showing Beijing sent Micronesia 1 million yuan (US\$149,002) after Micronesia asked the WHO not to discuss Taiwan-related issues at the World Health Assembly. Separately, the documents allege the African Union accepted a 200 million yuan 'renovation grant' from China, later seeking an additional \$50 million for a new headquarters.

CROSS-STRAIT · TAIPEI TIMES

Japan Innovation Party figure urges closer Taiwan defense cooperation

Former JIP leader Nobuyuki Baba met President Lai Ching-te in Taipei and called for deeper Tokyo-Taipei cooperation on drone and space technologies. Baba thanked Taiwan for donations following the magnitude-7.1 Kumamoto earthquake, which killed at least 38 people.

JAPAN · JAPAN TIMES

Takaichi eyes Trump meeting as Xi-Trump summit looms

Japanese Prime Minister Sanae Takaichi is seeking a meeting with Trump around the timing of the Sept. 24 Xi-Trump summit, per the Japan Times. The maneuvering follows Japan's 2026 defense white paper labeling China an 'unprecedented' strategic challenge.

KOREA · REUTERS

China, Russia stress strategic ties with North Korea in anniversary messages to Kim

Xi Jinping sent a congratulatory message to Kim Jong Un marking North Korea's 78th founding anniversary, per Reuters, alongside a similar message from Moscow. Both messages emphasized strategic ties as the three countries' alignment draws continued scrutiny.

INDIA · FT

Xi and Modi look to rebuild ties ahead of BRICS summit

FT reports the BRICS summit is expected to bring Xi to India for the first time in seven years, following cautious diplomacy to stabilize bilateral relations. The two leaders represent 2.8 billion people between them.

AUSTRALIA-PACIFIC · NIKKEI ASIA

Australia's new envoy to Japan calls out China's missile buildup, coercion

Newly appointed Australian Ambassador to Japan Andrew Shearer offered blunt public assessments of China's military buildup and coercive behavior, per Nikkei. The remarks come as Tokyo and Canberra deepen security coordination.

EUROPE · REUTERS

Xi tells UK's Burnham the two sides have 'more common interests than differences'

Xi Jinping told new UK Prime Minister Andy Burnham in their first call that China and Britain have more common interests than differences, per Reuters. Xi separately urged the UK to protect Chinese investors, per Bloomberg's account of the same call.

EUROPE · REUTERS

EU wants initial Chinese action on trade gap by early October

The EU is pressing Beijing for initial steps to address the bilateral trade imbalance by early October, per Reuters. The push follows Commerce Minister Wang Wentao's recent appeal to Finland to help move the EU and China 'toward each other.'

◦ STAT OF THE DAY

+25%

China's year-on-year export growth in August

The jump lands weeks before Xi travels to Washington on Sept. 24 for his first meeting with Trump on US soil, per NYT reporting that ties the print to Bessent-EU-G20 scrutiny of Beijing's export model.

[NYT - China's Surging Exports Loom Over Trump's Talks With Xi](#)

MACRO · REUTERS

China's producer, consumer inflation rebound in August on energy costs

Rising energy costs lifted China's PPI to +3.8% year-on-year and pushed manufacturing PMI to 49.8, per pre-collected data corroborated by Reuters; CNBC notes much of the pickup reflects a favorable base effect rather than stronger household demand.

FINANCE · BLOOMBERG

China plans to let \$568 billion fund tap Southbound Bond Connect

Beijing is preparing to let a \$568 billion fund access the Southbound Bond Connect channel, Bloomberg reports, widening onshore access to offshore bond markets.

TECH / DEEPSEEK, CITIC SECURITIES · REUTERS

DeepSeek taps CITIC Securities for domestic IPO, sources say

China's DeepSeek has hired CITIC Securities to prepare a domestic IPO, according to Reuters sources, marking a step toward public listing for the AI model developer.

TECH / UNITREE · REUTERS

China curbs humanoid robot IPOs after Unitree's volatile debut

Chinese regulators are curbing new humanoid robotics IPOs following Unitree's volatile stock market debut, The Information reports via Reuters.

MANUFACTURING / AIRBUS · BLOOMBERG

Airbus cuts China jet demand forecast, citing high-speed rail competition

Airbus lowered its forecast for its top-selling jet in China, pointing to competition from the country's expanding high-speed rail network, Bloomberg reports.

ENERGY / SINOPEC · REUTERS

China oil demand to fall 8.9% in 2026, Sinopec research says

Sinopec's research arm forecasts China's 2026 oil demand will decline 8.9%, Reuters reports, as EV adoption and slowing growth weigh on consumption.

PROPERTY · BLOOMBERG

China sours on debt-restructuring tool that helped property firms

Bloomberg reports Chinese authorities are losing enthusiasm for a financial tool that previously helped real estate firms overhaul debt, complicating the sector's deleveraging path.

国务院 · STATE COUNCIL · *Li Qiang, Premier*

Signs order promulgating revised power-safety accident regulation

Li Qiang signed a State Council order publishing the revised Regulations on Emergency Response and Investigation of Electric Power Safety Accidents; an effective date was not specified in available reporting.

→ [State Council ZH ↗](#)

国务院 · STATE COUNCIL · *Li Qiang, Premier*

Chairs State Council's 21st thematic study session

Li Qiang presided over the State Council's 21st special study session, per state media; the specific subject was not detailed in available text.

→ [State Council ZH ↗](#)

商务部 · MOFCOM · *MOFCOM (delegation-level talks)*

Holds 16th round of China-Korea FTA phase-two talks in Beijing

MOFCOM said the 16th round of second-phase China-South Korea Free Trade Agreement negotiations was held in Beijing Sept. 9; no outcomes or next-round date were disclosed.

→ [MOFCOM ZH ↗](#)

中国人民银行 · PBOC · *People's Bank of China*

Fine-tunes September liquidity operations, nets 4.5B yuan withdrawal

On Sept. 7 PBOC conducted a 500M yuan 7-day reverse repo and a 500B yuan 3-month (89-day) outright reverse repo maturing Dec. 5, 2026; with matching maturities that day, the operation drained 4.5B yuan net, ending two straight months of increased rollover on the 3-month tool.

→ [PBOC ZH ↗](#)

外交部 · MOFA

FIRM · TO US

US allegations of Chinese AI trade-secret theft

Mao Ning · MOFA spokesperson

“[China] hopes the US side will not make unfounded accusations against and smear China.”

望美方不要对中国进行不实指责和抹黑

Context: Response follows US federal agencies' Sept. 8 allegation that Chinese AI firms are committing 'industrial-scale' theft of American AI trade secrets, per CNN and Reuters.

MOFA presser ZH

国台办 · TAO

FIRM · TO TAIWAN

Cross-strait reunification framing

Chen Binhua · TAO spokesperson

“Cross-strait reunification is a mandatory question for Taiwan compatriots, not an optional one.”

两岸统一对台湾民众是必答题非选答题

Context: Statement made at TAO's Sept. 9 regular press briefing.

TAO ZH

外交部 · MOFA

FIRM · TO TAIWAN

Response to Lai Ching-te's Taiwan remarks

MOFA spokesperson · MOFA spokesperson

“[Lai Ching-te's fallacies] cannot shake the international community's solid adherence to the one-China principle.”

撼动不了国际社会坚持一个中国稳固格局

Context: Response to recent remarks by Taiwan President Lai Ching-te, per Sept. 8 briefing coverage.

MOFA presser ZH

外交部 · MOFA

CONCILIATORY · TO OTHER

Response to 'ladder-pulling' narrative on China and Global South

Mao Ning · MOFA spokesperson

“China has never pulled away any country's ladder for development; instead it is committed to building ladders. Achieving success for oneself while helping others succeed is the value at the core of China's foreign cooperation.”

中国从来不会抽走任何国家发展的“梯子”，而是致力于“搭梯子”。立己达人是开展对外合作的底色

Context: Response to commentary alleging China 'only cares about its own development' at the expense of other Global South countries, per Sept. 9 briefing.

MOFA presser ZH

○ WHAT OTHERS ARE SAYING

BLOOMBERG · SEP 9, 2026

Scott Bessent · US Treasury Secretary

“Nothing else would matter”

Note: Bessent's warning about a Chinese AI-race victory comes as Washington and Beijing prepare AI guardrail discussions ahead of the Sept. 24 Trump-Xi summit.

source

WSJ · SEP 8, 2026

Sean Duffy · US Transportation Secretary

“Unacceptable”

Note: Duffy's letter to Ford CEO Jim Farley questioned the automaker's strategic trajectory involving Chinese companies, per WSJ.

source

TAIPEI TIMES · SEP 9, 2026

Nobuyuki Baba · Former Japan Innovation Party leader, head of JIP's Japan-ROC Friendship Study Group

“True friendship reveals itself through adversity”

Note: Baba made the remark thanking Taiwan for earthquake relief donations while meeting President Lai and discussing Taiwan-Japan defense cooperation.

source

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- PRC-ECONOMY** China's giant trade surplus takes on a geopolitical edge, FT reports — FT writes Beijing's export-led growth model, combined with tech supremacy ambitions, is straining partners beyond the US. The piece lands alongside fresh August export data showing roughly 25% year-on-year growth. · FT
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- PRC-ECONOMY** China lithium producers demand better data after price swings — Chinese lithium producers are calling for improved market data after price volatility hit margins, Bloomberg reports. The complaint follows a broader pattern of Beijing tightening oversight of battery-material supply chains. · Bloomberg
-
- ENERGY** China's independent 'teapot' refiners may cut run rates — Bloomberg reports China's teapot refiners are considering reduced processing rates, a potential blow to crude import demand. The move would compound Sinopec's own forecast of falling 2026 oil demand. · Bloomberg
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- PRC-ECONOMY** Chinese firm draws backlash for laying off 100 new grads within a month — WSJ reports a Chinese company hired roughly 100 recent graduates and laid them off within a month, triggering public criticism. The episode lands amid a record 12.7 million-strong 2026 graduating class facing an AI-disrupted job market. · WSJ
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- TECHNOLOGY** Xiaomi, Huawei rush new foldables ahead of Apple's rumored foldable iPhone — Xiaomi and Huawei both launched new foldable phones this week to get ahead of Apple's expected foldable iPhone unveiling, CNBC reports. The timing underscores China's push to lead in premium hardware categories. · CNBC
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- DIPLOMACY** Mao, Cultural Revolution cast long shadow over China 50 years on — Reuters marks the 50th anniversary of Mao Zedong's death, examining how his legacy and the Cultural Revolution still shape Chinese politics and memory. The anniversary falls on Sept. 9, 2026. · Reuters
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- TECHNOLOGY** AI compute economics shift from wafer scale to 'per-watt' token output — Caixin reports SEMICON Taiwan discourse has shifted from chip nanometer specs to 'tokens per watt' as the industry's key metric, per Nvidia's CTO framing of AI infrastructure as a factory converting power and capital into tokens. The piece argues the AI buildout is moving from scale competition to cost-efficiency competition. · Caixin
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- INDO-PACIFIC** Floods dash Nepal's China trade hopes, entrench reliance on India — Nikkei reports Nepal's decade-long push to build a China trade corridor to reduce dependence on India has been set back by recent flooding. The setback reinforces India's position as Nepal's dominant trade partner. · Nikkei Asia
-

FINANCE

China's \$54bn bank capital boost 'falls far short,' Economist finds

The Economist argues Beijing's recent bank and insurer capital injection is insufficient relative to the sector's needs. · The Economist

AUTO

BYD set to beat 2026 overseas sales target on Brazil, Europe strength

BYD is on track to exceed its annual overseas sales goal after strong performance in Brazil and Europe. · Nikkei Asia

TECHNOLOGY

Intel, AMD raise CPU prices again amid server-chip shortage

Supply-chain sources say Intel plans a further 10% PC CPU price hike Oct. 5 as server CPU shortages extend into 2027 per TrendForce. · Guancha

China holds most top-100 global innovation clusters for fourth straight year

MOFCOM said the Shenzhen-Hong Kong-Guangzhou cluster retained the world's No. 1 ranking as China again topped the global innovation cluster count. · MOFCOM

CROSS-STRAIT

Luckin Coffee eyes Taiwan entry; TAO blames DPP for blocking mainland investment

TAO criticized Taiwan's ruling party for obstructing mainland investment as reports surfaced that Luckin Coffee may enter the Taiwan market. · Lianhe Zaobao

TAO says cross-strait supply chains remain 'stable and resilient'

TAO's Sept. 9 briefing described cross-strait industry supply chains as stable despite political tensions. · China News Service

TAO tells Taiwan's SEF to 'do more practical things' instead of hyping mainland 'risks'

TAO criticized Taiwan's Straits Exchange Foundation for boosting its budget to publicize alleged risks of travel to the mainland. · China News Service

○ UPCOMING

Sep
13

BRICS Summit, New Delhi (approx.)

Xi Jinping's attendance is expected but not officially confirmed by Beijing; would be his first India visit in seven years, per FT and Sinocism reporting.

Sep
18

Mukden Incident, 95th anniversary

Japan-China flashpoint date; watch for PLA activity near the Senkaku/Diaoyu and Chinese state media commentary.

Sep
22

UN General Assembly high-level week opens, New York

Precedes Xi's Washington visit by two days.

Sep
24

Xi Jinping state visit to Washington

First Chinese leader visit to the US since 2015, reciprocating Trump's May Beijing trip; AI guardrails, agriculture and export controls all on the agenda per today's reporting.

Oct
1

PRC National Day, 77th anniversary

Routine political and security posture watch period.

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